1) Explain the concept of price. What are the factors determining the price of a product.

PRICE : Price is a source of revenue for the firm and it decides the health of the firm.

* Price also gives an image to the product.

PRICE DETERMINANTS :

i) objective of business.

* The Fundamental objective of a firm is to survive in the business and then thrive.

* The pricing strategy adopted by a firm is very much influenced by these factors.

* Thus, the basic guide to pricing is the firm's objectives.

(ii) Competition :

* To come out with a pricing policy that will be advantages to the firm, Managers requires a perfect understanding of the competitive environment in which the firm is placed.

(iii) Product and promotional strategies :

* When a marketing strategy is formulated for a product, the four components are considered.

* Product itself
* pricing
* Promotion activities and
* Distribution of products through channel to the consumer

(iv) Nature of Price Sensitivity :

* We know that many factors contribute to

the increase of price sensitivity, but managers should not ignore the factors that minimize price sensitivity when designing pricing strategies.

(v) Influence of middleware.

* Middleman are the ones who stock the finished product of the Manufacturer to sell it to the customers.

* They are Also called the channel for distribution.

(vi) Routinization of price.

* This Strategy of pricing relies on the tried and trusted pricing strategies which the organisation has followed all along.

*) Number of pricising decisions made
*) Speed of pricing decision.
*) Quality of available information
*) Competitive market.

(vii) Government Regulation:

* In order to safeguard the interests of the public the government acts on their belief to prevent the abuse of monopolistic power and collusion among business.

* The Government formulates policies and enacts law to control prices which may be against the interest of the public.

2) Explain the different types of ownership of a firm.

* A firm is a unit engaged in production of goods and services.
* The term firms includes all those enterprise which are related with the production not only of goods but also of services.
* The different types of ownerships of a firm are:

a) Sole proprietorship.

* Sole proprietorship is a form of business organisation which is owned, managed and controlled by a single individual.

Features:

* Single owner
* Full control over business
* Entire profit goes to owner
* owner bears all losses and risks.
* Simple to start and easy to manage.

b) partnership:

* partnership is a form of business organisation where two or more persons agree to carry on a business and share profits and losses.

Features:

* Minimum 2 persons
* profit & Loss sharing
* Joint Management
* Mutual agency

* partnership agreement
* More capable than sole proprietorship.

c) Joint Stock Company:

* A Joint Stock Company is an organisation formed and registered under the Companies Act.
* It has a separate legal entity apart from its owners.

Features:

* Separate Legal entity
* Limited Liability
* perpetual succession
* capital divided into shares
* Managed by Board of Directors
* Large capital
* Legal formalities.

d) Cooperative Society:

* A co-operative Society is a voluntary association of persons who come together to promote their economic interests.

Feature:

* voluntary association
* service motive
* Democratic management
* Limited Liability
* Government support
* Mutual help.

3) Explain the eliments / Functions of Management.

MANAGEMENT:

* Management is a distinct process performed to determine and accomplish stated objectives by use of human being and other resources.

* The Functions of management are

*) Planning
*) organizing
*) Staffing
*) Directing
*) controlling

*) planning:

* planning is an important function of management.

* Planning is an activity by which managers analyze present conditions to determine ways of reaching a desired future state.

* planning is both an organizational necessity and a management responsibility.

* There are many different types of plans and planning

*) strategic planning
*) Tactical planning
*) operational planning.

Steps in planning process

Analyzing opportunities
↓
Establishing objectives

↓
Determining the planning process
↓
Identifying Alternatives
↓
Evaluation
↓
Selection
↓
Implementation
↓
Review

*) organising:

* It involves developing an organizational structure and allocating human resources to ensure the accomplishment of objectives.

Steps in organizing process:

* Identifying the work
* Grouping the work
* establishing formal reporting relationships
* Providing for measurements, evaluation & control
* Delegating authority
* Coordination.

*) Staffing:

* Staffing is the process by which managers select, train, promote and retire their subordinates.
* Staffing is a continous process.
* Staffing involves
    * Manpower planning
    * Recruitment, selection & placement
    * Training & Development
    * Renumeration

*) Directing:

* Directing is a process by which actual performance of Subordinates is guided towards commo goals to enterprise.

* It involves Functions such as

  * Leadership
  * Communication
  * Motivation
  * Supervision

*) Coordinating:

* Coordinating means achieving harmony of individual effort towards the accomplishment of company objectives.

*) Controlling:

* controlling is the process that measures current performance and guides it towards some predetermined goal. controlling involves.

*) It monitoring of programme activities to make sure that end objectives are being met.

*) The Initiation of corrective actions on required to overcome problem.